Encompass
engineering consultants
forensic analysis

March 21, 2024

Lisa Murphy
Association Manager
FirstService Residential
8100 Old Cedar Avenue South
Bloomington, MN 55425
lisa.murphy@fsresidential.com

Re: **Professional Services Proposal: Balcony Repair Phase**
Limited Construction Administration & Observation
Summerhill Condominiums
8007 Xerxes Avenue South
Bloomington, MN 55431

Dear Lisa:

In accordance with your request, we are pleased to present our proposal to perform construction phase limited administration and observation services for the balcony repair project at the Summerhill Condominiums located in Bloomington, Minnesota.

SCOPE OF PROPOSED SERVICES

Encompass, Inc. proposes to provide the following services:

Limited Construction Phase Services

- Attend a preconstruction meeting with the contractor and owner.
- Review relevant project coordination and detail issues with owner and contractors.
- Address contractors questions.
- Review material submittals, change orders, contractor's payment applications, shop drawings, field-test data; and respond to contractor's RFI's.
- Conduct periodic site visits to observe the work; determine if observed work is being conducted in compliance with the restoration drawings/specifications. We anticipate observation of work to occur 2 to 4 days a week based on the quantity of work completed and/or necessitated by encountered field conditions.
- Work with contractor to address unforseen conditions and to determine appropriate construction details to suit requirements of the project.
- Prepare an ongoing observation log and deficiency list during construction to track observed work and to provide the contractor with direction to correct or avoid potential problems in a timely manner.
- Inspect the site to determine the status of construction completion and verify satisfactory completion of punch-list items.

5435 Feltl Road
Minnetonka, Minnesota 55343
Phone 952-854-4511

COST OF PROFESSIONAL SERVICES

The cost to perform construction phase limited administration and observation services for the balcony repair project at the Summerhill Condominiums, will be performed and billed on an hourly basis at the rates listed below and will not exceed **$58,000.**

BASIS OF PAYMENT

Basis of Payment for the services outlined above shall be per hour of service rendered at the rates below. In addition to hourly service, all direct project expenses shall be billed at cost. Expenses could include, but not limited to, cost of printing and reproduction of documents and automobile mileage at the rate of $.67 per mile. Invoicing for professional engineering services will be made monthly. Hourly rates for professional services, by classification, are:

1.	Principal Engineer	$225.00
2.	Associate Principal	$210.00
3.	Senior Project Engineer	$195.00
3.	Licensed Project Engineer	$185.00
4.	Degreed Engineer	$170.00
5.	Senior Construction Consultant	$165.00
6.	Technician II	$140.00
7.	Technician I	$125.00

WARRANTY

No warranty is implied or intended. Encompass does not warranty the work performed by others. We do not warranty the work of contractors and/or subcontractors.

LIMITATION OF LIABILITY

The liability of Encompass (including its employees) for any actions, damages, claims, demands, judgments, losses, costs, or expenses arising out of or resulting from Encompass' or its employee's negligent acts, errors, or omissions is limited to an amount equal to the fees paid by Client to Encompass for professional services rendered pursuant to this Proposal, including any claims for contribution or indemnity.

MOLD DISCLAIMER

Evaluation and/or abatement of any fungal growth is outside the scope of our proposed services.

CONSEQUENTIAL DAMAGES

Neither party shall be liable to the other for loss of profits or revenue; loss of use or opportunity; loss of good will; cost of substitute facilities, goods, or services; cost of capital; or for any special, consequential, indirect, punitive, or exemplary damages.

MINNESOTA STATUTORY LIEN NOTICE

- **Any person or company supplying labor or materials for this improvement to your property may file a lien against your property if that person or company is not paid for the contributions.**
- **Under Minnesota law, you have the right to pay persons who supplied labor or materials for this improvement directly and deduct this amount from our contract price, or withhold**

the amounts due them from us until 120 days after completion of the improvement unless we give you a lien waiver signed by persons who supplied any labor or material for the improvement and who gave you timely notice.

ENTIRE AGREEMENT

Upon Client's acceptance, this Proposal represents and contains the entire agreement and understanding between Encompass and the Client with respect to the subject matter of this Proposal and supersedes any and all prior oral and written agreements and understandings.

MODIFICATIONS

The accepted Proposal may be modified only by a written instrument executed by both parties.

Thank you for the opportunity to present this proposal. We will be pleased to review the scope of this proposal with you at your convenience. If this proposal meets with your approval, please indicate your acceptance by signing below and returning one copy to Encompass, Inc. Upon receipt of your acceptance, we will coordinate commencement with you.

Should you have any questions, please call.

Respectfully submitted,

ENCOMPASS, INC.

Curt Isernhagen, P.E.
Principal

Anne Crisp, P.E.
Senior Project Engineer

ENCOMPASS, INC.
PROPOSAL ACCEPTANCE

SUMMERHILL CONDOMINIUMS
PROFESSIONAL ENGINEERING SERVICES
BALCONY REPAIR PHASE
LIMITED CONSTRUCTION ADMINISTRATION & OBSERVATION
PROPOSAL DATED: MARCH 21, 2024

We accept the scope, terms and conditions of this proposal as described herein.

SUMMERHILL CONDOMINIUMS

_____ Date: _____

Authorized Signature
c/o Summerhill Condominiums Homeowners Association

_____ _____
Written Name Title